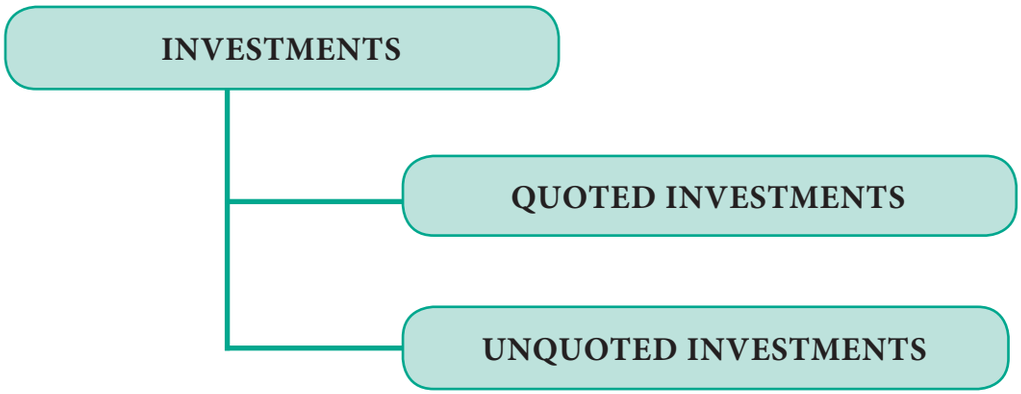


it should be ignored. But where such a fall is permanent, depreciation must be provided. Actually, the basis of valuations of investment will depend upon the purpose for which they are held. For instance, in case of trust company, the sole purpose of which is to earn interest and dividend, then such investment must be treated as fixed asset. In such cases, even the permanent fall in their value should be ignored.

The investments are classified as – (1) Quoted Investments, and (2) Unquoted Investment

4.5.1 Quoted Investment

A company's share is said to be "listed", or "Quoted" if its share can be traded on a stock exchange, i.e., Public Limited Companies.

Auditor's Duty in Verification

1. Verify the authorization for purchase of investment. Auditor should review board minute book (book which record the conclusion of meeting) for authorization.
2. Vouch the entries in brokers contract note, share certificate and cash book.
3. Examine the share certificate to ensure that the type of security and number of share agrees with investment account and that the share held in the company with its name.
4. Verify that the investments are properly classified and disclosed as stated in Companies Act.

Auditor's Duty in Valuation

1. The auditor should satisfy himself that the investment has been valued in the financial statement in accordance with recognized accounting policies and practices and relevant statutory requirements.
2. The auditor should examine whether in computing the cost of investment, expenditure incurred on account of transfer fees, stamp duty, brokerage etc., is included in the cost of investment.

4.5.2 Unquoted Investments

A company share is said to be "unlisted" or "unquoted" if its stocks that are not listed on a stock exchange and so have no publicly stated price. Here, Investments are difficult to value, for example, shares that have no stock exchange listing i.e. Private Company etc.

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